**COUNCIL MEETING – 4 MARCH 2026**

**FINANCIAL PLANS 2026/27**

## 1. INTRODUCTION

1.1. A full update on the 2026/27 Financial Plans including the Draft Budget, Capital Programme, Capital Strategy, Treasury Management Strategy and proposed Fees and Charges for 2026/27 was presented to Public Cabinet on 23 February 2026.

1.2. A number of decisions were made at Public Cabinet, and these are now recommended for Council approval.

## 2. RECOMMENDATIONS

1.3. Based on the report to Public Cabinet on 23 February 2026, Council is recommended to:

(1) Agree a General Fund Budget of £271.950m for 2026/27 including a Contingency Provision of £5.000m (Appendix A) considered by Public Cabinet on 23 February 2026;

(2) Agree the Capital Programme excluding the capital additions as set out in Appendix F in the Public Cabinet report on 23 February 2026, and note full utilisation of all external grants, use of S106 and CIL funding;

(3) Agree the capital additions as set out in Appendix G in the Public Cabinet report on 23 February 2026;

(4) Agree to the planning assumption used, to increase Council Tax for the 2026/27 financial year by 2.99%;

(5) Agree to the planning assumption used, to increase the Adult Social Care precept for the 2026/27 financial year by 2.00%;

(6) Agree, in accordance with Sections 30 and 36 of the Local Government Finance Act 1992, the Council Tax (Band D) for 2026/27 at £1,855.85, which equates to an increase of 2.99% for the Council's element in addition to the 2.00% Adult Social Care precept;

(7) Note, as set out in Section 6(b), the precept of the Greater London Authority (GLA) in accordance with Section 40 of the Local Government Finance Act 1992 (which equates to £510.51 for a Band D property);

(8) Agree that the following amounts be calculated by the Council for the 2026/27 in accordance with Sections 31 to 36 of the Local Government Finance Act 1992 as amended by the 2011 Localism Act:

| | £m | Description |
|---|---|---|
| (a) | 586.990 | Being the aggregate of the amounts which the Council estimates for the items set out in Section 31 A (2) of the Act |
| (b) | (426.394) | Being the aggregate of the amounts which the Council estimates for the items set out in Section 31 A (3) of the Act |
| (c) | 160.596 | Being the amount by which the aggregate at (a) above exceeds the aggregate at (b) above, calculated by the Council in accordance with Section 31A(4) of the Act as its Council Tax requirement for the year. (Item R in the formula in Section 31B of the Act). |
| (d) | £1,855.85 | Being the amount at (c) above (Item R), all divided by Item T (Council Tax base), calculated by the Council, in accordance with Section 31B of the Act, as the basic amount of its Council Tax for the year. |

And note the Council Tax base of 86,535.1 (called T in the Act and Regulations) in accordance with Section 31B of the Local Government Finance Act (as amended) and regulation 3 of the Local Authorities (Calculation of Council Tax Base) Regulations Act 2014.

(9) Agree the Council having considered the principles approved under the Local Government Finance Act 1992 by the Secretary of State for Communities and Local Government concludes that the Council's basic relevant amount of Council Tax for 2026/27 is not excessive.

(10) (a) Agree to the Capital Management Strategy and agree the Annual Minimum Revenue Provision Statement as set out in Appendix H in the Public Cabinet report on 23 February 2026;

(b) Agree the Treasury Management Strategy for 2025/26 as set out in Appendix J in the Public Cabinet report on 23 February 2026;

(c) Agree the credit rating criteria and limits as detailed in the Treasury Management Strategy as set out in Appendix J in the Public Cabinet report on 23 February 2026 with immediate effect;

(d) Agree the Prudential and Treasury Management Indicators in the Treasury Management Strategy as set out in Appendix J in the Public Cabinet report on 23 February 2026;

(e) Delegate changes to the Treasury Management Strategy, credit rating limits and Treasury indicators to the Director of Finance and Corporate Services, in consultation with the Leader of the Council where statutory guidance allows;

(11) Agree the Flexible Use of Capital Receipts Strategy as set out in Appendix I in the Public Cabinet report on 23 February 2026;

(12) (a) Confirm the increases in fees and charges as set out in Appendix E in the report to Public Cabinet on 23 February 2026;

(b) Delegate changes to fees and charges to the Director of Finance and Corporate Services in consultation with the relevant Cabinet Member;

(13) That the Director of Finance and Corporate Services be authorised to make transfers between reserves as necessary to optimise the Council's financial position;

(14) Note the opinion of the Director of Finance and Corporate Services as Chief Finance Officer/Section 151 on the robustness of the budget as set out in Appendix B to the Public Cabinet report on 23 February 2026;

(15) Note, the specific grant allocations (Extended Producer Responsibility, Public Health, Holiday Activity Fund, Adult Skills Fund, Crisis Resilience Fund and Free School Meals) will be fully utilised for the purpose intended

(16) That the Council's Pay Policy Statement, as set out in Appendix O to the Public Cabinet report on 23 February 2026, be agreed and published before 1 April 2026 in accordance with the requirements of the Localism Act 2011;

(17) Agree that the Members' Allowances Scheme and Mayoral Allowances adopted by the Council at the Annual meeting in May 2025 be extended from 31 March 2026 until the Annual meeting of the Council in May 2026;

(18) That the Scheme of Members' Allowances for 2025/26, attached as Appendix P to the Public Cabinet report on 23 February 2026, are not increased from the date of the Annual meeting on 21 May 2025; and

(19) That the Mayoral Allowances, paid to the Mayor and to the Deputy Mayor will not be increased from the date of the annual meeting on 21 May 2025.

## 3. OVERVIEW

1.4. The Council is under a legal duty to set a balanced and sustainable budget and to set the Council Tax levels for the next financial year by 11 March 2026 at the latest. The setting of the budget is a decision reserved for Full Council. The Council's Budget and Policy Framework required that a draft budget is issued for consultation with the relevant Overview and Scrutiny Committees to allow for their comments to be considered before the final budget proposals are made to Full Council. and the budget was scrutinised during committee meetings held in February.

1.5. This report sets out key items for consideration by Members in setting the 2026/27 budget and Council Tax of which full details were included in the report to Public Cabinet on 23 February 2026. The Cabinet is now putting forward its final budget and Council Tax proposals to the Council and the figures are set out in Appendix A to this report.

1.6. The purpose of this report is to set out for Council the basis of calculation of and to set the Council Tax for 2026/27. The Localism Act 2011 made significant changes to the Local Government Finance Act 1992 ("the Act"), and now requires the billing authority to calculate a Council Tax requirement for the year, not its budget requirement as previously.

1.7. This report recommends a 2.99% increase in the Council's element of the Council Tax and 2.00% in respect of the Adult Social Care Precept. As a consequence, the proposed Borough element of Council Tax will increase by 4.99% for 2026/27. In

addition, there is an increase in the Greater London Authority element (detailed below in section 6 (b)).

1.8. As the Council develops its detailed proposals it must continue to keep under review those key financial assumptions which underpin the Council's Medium Term Financial Strategy; particularly as the Council becomes ever more dependent on locally raised sources of income through Council Tax and Business Rates. The Council is carrying a significant level of financial risk due to the rising cost of living, increasing inflation, and increased levels of demand and complexity of demand.

1.9. The Capital Management Strategy meets the requirement to follow the Prudential Code for Capital Finance in Local Authorities, 2017 edition. It also adheres to the latest codes, in particular regulations 2 and 24 of the Local Authorities (Capital Finance and Accounting) Regulations 2003.

1.10. A Capital Treasury Management Strategy for 2026/27, is required to be approved by the Council before the start of the financial year in accordance with the CIPFA Code of Practice for Treasury Management as well as setting a number of Prudential and Treasury Management Indicators for treasury management.

## 4. CAPITAL PROGRAMME AND PRUDENTIAL BORROWING

1.11. The Capital Programme for the five years to 2029/30 has been developed over previous months and the draft programme was included in the report to Public Cabinet 23 February 2026. The total programme of investment was set out in Appendix F and additional projects to be added to the programme from 2026/27 onwards were in Appendix G of the report to Public Cabinet on 23 February 2026.

1.12. All capital expenditure is aligned with one of the Council's key priority areas as set out in the Capital Strategy which was considered at Public Cabinet on 23 February 2026. Between 2026/27 and 2029/30, the Programme excluding the new proposed projects of £26.239m consists of £226.769m of investment across the Borough. Around 9.9% of the Programme will be funded from external sources and capital receipts, with the amount of borrowing required to fund the remaining investment plans of £204.330m. In addition there will be borrowing of £24.435m based on new schemes approved by Public Cabinet on 23 February 2026. The Prudential Indicators for 2026/27 have now been calculated as part of the Capital and Treasury Management Strategies set out in Appendices H and J of the Public Cabinet on 23 February 2026; including the proposed Minimum Revenue Provision (MRP) Policy Statement for 2026/27. Further Prudential Indicators relating to Treasury Management are also set out in the Treasury Management Strategy which was discussed at the Public Cabinet meeting on 23 February 2026.

1.13. The Government requires local authorities to make prudent provision in their accounts for loan repayments and this is known as the Minimum Revenue Provision (MRP). The guidance, published by the Ministry of Housing, Communities and Local Government (MHCLG) requires the Council to decide annually which methods it will use to determine loan repayments for both existing debt and new borrowing and set this down in an MRP Policy Statement. The Council's proposed MRP Policy Statement for 2026/27 is detailed in Appendix H of the report to Public Cabinet on 23 February 2026.

1.14. All financing costs in 2026/27 which arise from the proposed Capital Programme are included in the revenue budget.

## 5. BUDGET AND CAPITAL PROGRAMME 2026/27

1.15. Over the next 12 months, the Council will spend approximately £417.289m on local services in the Borough. This includes £271.950m on day to day services (referred to as revenue spending) and also £145.339m of capital investment into development, infrastructure and facilities that will deliver long term benefits for current and future residents.

1.16. An overall summary of the existing capital programme excluding the proposed additions is set out in Appendix F of the report to Public Cabinet on 23 February 2026. The proposed capital additions for the period 2026/27 onwards are contained within Appendix G of the report to Public Cabinet on 23 February 2026, which require Council approval.

## 6. COUNCIL TAX

a) London Borough of Bexley

1.17. Council Tax continues to be the primary source of revenue for the Council. The ability for councils to increase the amount of Council Tax charged to residents is subject to a limit beyond which a referendum must be held. For the 2026/27 financial year, the referendum limit at 2.99% (excluding the Adult Social Care Precept) remains the same, therefore the maximum increase of the Borough element of Council Tax for 2026/27 before a referendum is required is 2.99%.

1.18. The 2026/27 Council Tax Base of 86,535.1 was approved by the General Purposes and Audit Committee on 28 January 2026; this calculation was based on the Valuation List as at September 2025. The distribution of properties over bands and the amount of tax payable by each band relative to Band D is shown in the following table.

| | Tax level relative to Band D | Number of properties on the valuation list | PERCENTAGE % |
|---|---|---|---|
| | £ | £ | £ |
| A | 6/9 | 4,356 | 4.25% |
| B | 7/9 | 11,460 | 11.19% |
| C | 8/9 | 31,431 | 30.70% |
| D | 9/9 | 28,326 | 27.67% |
| E | 11/9 | 19,671 | 19.21% |
| F | 13/9 | 5,321 | 5.20% |
| G | 15/9 | 1,767 | 1.73% |
| H | 18/9 | 53 | 0.05% |
| | | 102,385 | 100.00% |

1.19. The Council Tax base of 86,535.1 is an adjustment of the 102,385 properties (shown above) which adjusts for Band D equivalents, discounts, exemptions and the allowance for Council Tax Reduction Support.

1.20. The Council can, subject to legislative constraints, increase its Council Tax rate through two mechanisms; the Adult Social Care precept and general inflationary increases. Each 1.00% increase in the Council Tax rate generates around £1.529m per annum, which equates to approximately 34 pence per week for the average Band D property.

1.21. From 2016/17, in light of national spending pressures in Adult Social Care services, the Government gave an additional flexibility to authorities to put an additional levy on Council Tax, recognised nationally as the Adult Social Care Precept. The Local Government ministerial Policy Statement and the draft Local Government Finance Settlement announced that in addition to the proposed 3.00% Council Tax referendum limit, there would be an ability to levy an additional 2.00% Adult Social Care Precept. The 2.00% Adult Social Care Precept would raise approximately £3.059m in 2026/27.

1.22. A 2.99% increase in the Council Tax general inflationary element and a 2.00% increase in the Adult Social Care would result in a total increase of 4.99%. This value is beneath the referendum threshold and therefore the basic amount of Council Tax proposed is not excessive and as such, would not necessitate a local referendum as set out in the Localism Act 2011.

1.23. Subject to the agreement of the increases to the Council Tax levels contained within this report, the 2026/27 Council Tax Requirement (including Adult Social Care Precept) for the Authority is £160.596m.

b) Preceptor's Requirement

1.24. The Mayor of London's budget for 2026/27 was agreed by the London Assembly which met on 26 February 2026. The budget proposals included an increase of 4.1% (£20.13) for a Band D property for the GLA precept for 2026/27. This is an increase from £490.38 in 2025/26 to £510.51 in 2026/27.

1.25. In accordance with Sections 30 and 36 of the Local Government Finance Act 1992, the table below sets the amounts for Council Tax for each of the categories of dwellings. In addition, in accordance with Section 40 of the Local Government Finance Act, the table sets the amounts issued to the Council for the major precepting authority (the GLA). These have been aggregated for the total amount as shown below for each of the categories of dwellings.

| | Bexley Element | Greater London Authority Precept | Bexley: Council Tax 2026/27 |
|---|---|---|---|
| | £ | £ | £ |
| A | 1,237.23 | 340.34 | 1,577.57 |
| B | 1,443.44 | 397.06 | 1,840.50 |
| C | 1,649.64 | 453.79 | 2,103.43 |
| D | 1,855.85 | 510.51 | 2,366.36 |
| E | 2,268.26 | 623.96 | 2,892.22 |
| F | 2,680.67 | 737.40 | 3,418.07 |
| G | 3,093.08 | 850.85 | 3,943.93 |
| H | 3,711.70 | 1,021.02 | 4,732.72 |

The effect would be to set the Council Tax for a Band D property as £2,366.36.

## 7. SUMMARY OF LEGAL IMPLICATIONS

1.26. This report sets out the recommendations from Public Cabinet on 23 February 2026 to Full Council for the adoption of a lawful budget and the setting of the Council Tax for 2026/27. Members will note the Legal Implications Section in the Public Cabinet report of 23 February 2026.

1.27. In considering this report, Members must bear in mind their fiduciary duty to the Council taxpayers of the London Borough of Bexley.

1.28. The setting of the Council Tax is a matter reserved for the Council following recommendation from the Executive.

1.29. Section 30 of the Local Government Finance Act 1992 ("the LGFA"), as amended, requires the Council to set an amount of Council Tax for each financial year and provides that it must be set before 11th March in the financial year preceding that for which it is set. The matters detailed in this report enable the Council to set the Council Tax in accordance with the provisions set out in the LGFA.

1.30. Sections 73 to 79 of the Localism Act 2011 amended the LGFA to set out the calculations that billing and precept authorities need to make in determining the basic amount of Council Tax. Section 31A of the LGFA, requires a billing authority to calculate its Council Tax requirement each financial year. In doing so, a billing authority is required to calculate its expected outgoings and income for the year. Where the authority's expected outgoings exceed its expected income, the difference is the authority's Council Tax requirement for that financial year (section 31A(4)).

1.31. Section 31B of the LGFA requires a billing authority to calculate its basic amount of Council Tax for the year by dividing its Council Tax requirement by its Council Tax base. The calculations undertaken pursuant to the above statutory provisions and the Local Authorities (Calculation of Council Tax Base) (England) Regulations 2012 must be presented to and be subject to formal resolution by the Council.

1.32. Section 72(1) and Schedule 5 of the Localism Act 2011 (which inserts Chapter 1VZA into the LGFA), imposes a duty on billing authorities, major precepting authorities and local precepting authorities to each determine whether their relevant basic amount of Council Tax is "excessive". If the basic amount of Council Tax is deemed to be "excessive", there is a duty to hold a referendum. The threshold at which a Council Tax increase would trigger a local referendum was set at 3%.

1.33. In addition, the Government has given additional flexibility to authorities with adult social care responsibilities to address the pressures within adult social care. This report informs Members of the 2.00% Adult Social Care Precept for 2026/27 in respect of adult social care.

1.34. The Council has a number of statutory duties. However, even where there is a statutory duty, the Council often has discretion about the level of service provision taking into account need. Where a service is not provided as a result of a statutory duty but provided pursuant to the exercise of a power, the Council is not bound to carry out those activities. However, decisions to reduce or cease such services must be taken in accordance with administrative law. In relation to fees and charges, the Council must consider the potential impact financial pressures on its stakeholders. However, this must be balanced against the Council's statutory duty to set a lawful budget.

1.35. Section 25(1)(a) and (b) of the Local Government Act 2003 requires the Chief Finance Officer (Section 151 Officer) to report on the robustness of the estimates made for the purpose of calculating the Council Tax and the adequacy of the reserves. When considering what level of general reserve to hold, applicable legislation includes sections set out in the Local Government Finance Act 1992.

1.36. The Council has a statutory duty to have regard to the report of the Chief Finance Officer (the Director of Finance and Corporate Services and Section 151 officer) when making decisions about its budget calculations.

1.37. Members will note recommendation (13) in relation to the Chief Finance Officer's opinion on relation to the robustness of the budget.

1.38. With regard to Treasury Management, Members will note Section 1 of the Local Government Act 2003, ("the Act") which provides for a local authority to borrow for any purposes related to its functions under Section 1(a) or the prudent management of its affairs under Section 1(b). Section 3(1) of the Act requires a local authority to determine and keep under review how much money it can afford to borrow.

1.39. Section 12 of the Act provides that a local authority may invest –

(a) for any purpose relevant to its functions under any enactment, or
(b) for the purposes of the prudent management of its financial affairs

1.40. The Act further provides that a local authority shall have regard to any guidance issued by the Secretary of State. The Secretary of State has made the Local Authorities (Capital Finance and Accounting) (England) Regulations 2003, as amended. Regulation 2 requires the Council to have regard to the Code of Practice (the "Prudential Code for Capital Finance in Local Authorities") published by CIPFA.

1.41. In considering the proposals set out in this report, Members must have due regard to the Public Sector Equality Duties set out in section 149 of the Equality Act 2010. Section 149 (1) requires "due regard" to the need to:

- Eliminate discrimination, harassment and victimisation and any other conduct that is prohibited by or under the Act;
- Foster good relations between people who share a relevant "protected characteristic" and those who do not;
- Advance equality of opportunity between people who share a relevant "protected characteristic" and those who do not.

1.42. A "protected characteristic" is defined in the Equality Act as:

- Age;
- Disability;
- Gender reassignment;
- Pregnancy and maternity;
- Race;
- Religion or belief;
- Sex;
- Sexual orientation.

1.43. Marriage and civil partnership are also a protected characteristic for the purposes of the duty to eliminate discrimination.

1.44. Having due regard to advancing equality under section 149(3) involves:

- Removing or minimising disadvantages suffered by people due to their protected characteristics;
- Taking steps to meet the needs of people with certain protected characteristics where these are different from the needs of other people;
- Encouraging people with certain protected characteristics to participate in public life or in other activities where their participation is disproportionately low.

1.45. In discharging its Public Sector Equality Duties, matters to consider include:

- the likely impact of the proposals on persons with protected characteristics;
- whether the cumulative effect of proposals in in relation policies/services adversely impact on persons with protected characteristics.

1.46. Members will note Equality Impact Assessments attached to the Medium Term Financial Strategy report to Public Cabinet on report of 23 February 2026.

1.47. The report recommends the adoption of the Council's Pay Policy Statement. The statutory provisions in relation to a Council's Pay Policy Statement are set out in paragraph 8 below. Members will note Section 38(1) of the Localism Act 2011 requires local authorities to produce a pay policy statement for each financial year.

1.48. Members will also note the recommendation relating to Members Allowances. The Local Authorities (Members' Allowances) (England) Regulations 2003 requires the Council at the beginning of each financial year to make a scheme for the payment of allowances to Councillors and Co-opted Members as appropriate.

## 8. PAY POLICY STATEMENT

1.49. Sections 38 to 43 of the Localism Act 2011 require relevant authorities to prepare a pay policy statement for the financial year 2012/13 and each subsequent financial year. Section 40 of the Act includes provision for the Secretary of State to issue guidance on the content and application of senior pay statements. Relevant authorities must have regard to this guidance in the exercise of their functions under the pay accountability provisions. Officers can confirm that the Pay Policy Statement has been prepared and will be published in accordance with that guidance as reported to Public Cabinet on 23 February 2026 Appendix O. The General Purpose and Audit Committee considered the report at its meeting on 28 January 2026 and agreed that the Pay Policy Statement should be recommended to Council for approval.

## 9. MEMBERS ALLOWANCES

1.50. The Local Authorities (Members' Allowances) (England) Regulations 2003 requires the Council at the beginning of each financial year to make a scheme for the payment of allowances to Councillors and Co-opted Members as appropriate. The Local Government Act 1972, sections 3(5) and 5(4) permits the Council to pay the Mayor and Deputy Mayor, allowances to meet the expenses of the office.

1.51. Appendix P of the report to Public Cabinet on 23 February 2026 sets out the proposal in relation to Members' Allowances.

1.52. Following the review and approval of the annual staff pay awards, it is proposed that the Scheme of Members' Allowances for 2025/26 will not be increased from 21 May 2025.

1.53. The Mayoral Allowances, paid to the Mayor and to the Deputy Mayor will not be increased from the date of the Annual meeting on 21 May 2025.

1.54. The recommendations referred to Council are in line with the statutory requirements.

**List of Background Documents**

**None.**

Financial Plans 2026/27 to 2029/30 Update – Public Cabinet 23 February 2026;
Calculation of Council Tax Base for 2026/27 – General Purposes and Audit Committee, 28 January 2026;
Final Local Government Finance Settlement: England, 2026/27 to 2028/29, MHCLG, 9 February 2026;

Pay Policy Statement – General Purposes and Audit Committee, 28 January 2026;
The Localism Act 2011;
The Local Government Finance Act 1992

**List of Appendices**

Appendix A – Budget Summary Statement 2026/27


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